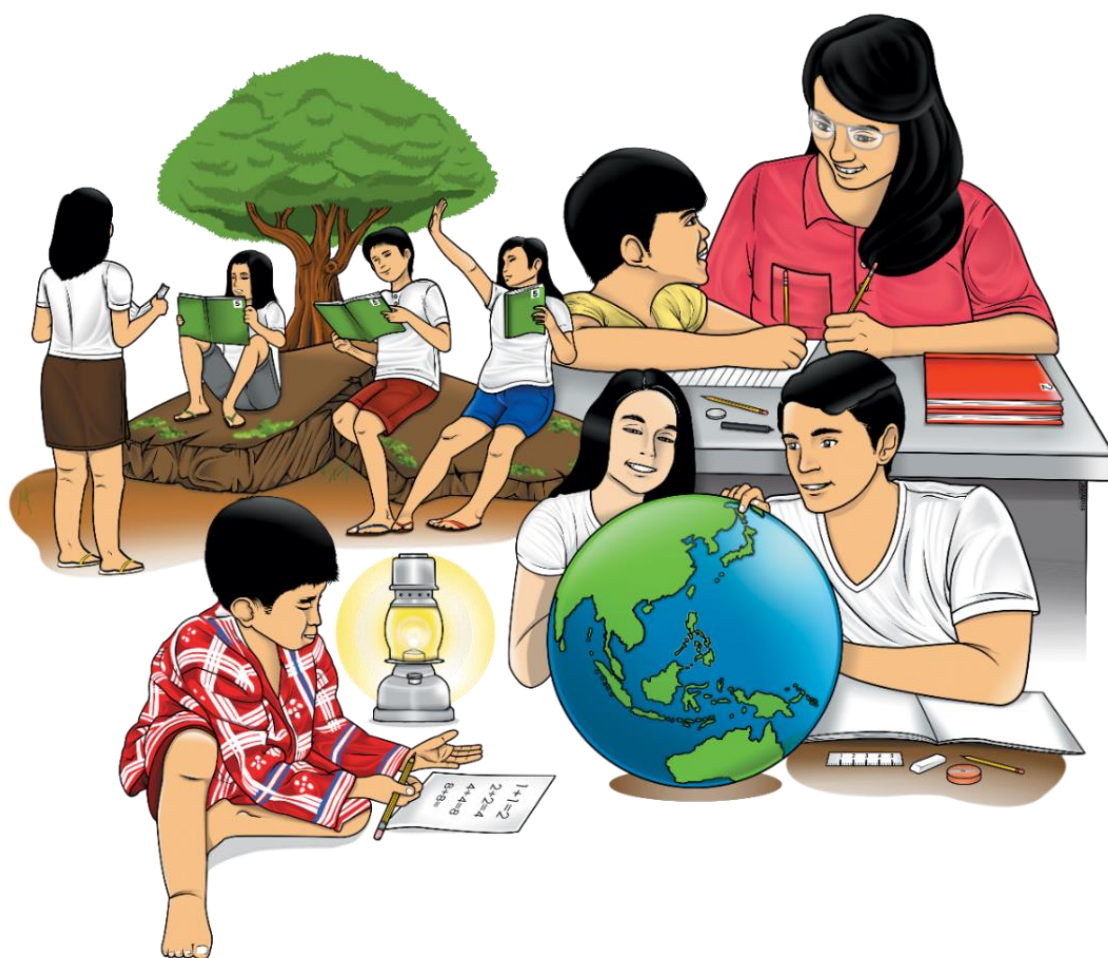


Commission

Module in Business Mathematics
Quarter 2 • Module 1 (Weeks 1-2)



MARY JOYCE C. PAGAR
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Department of Education • Cordillera Administrative Region

NAME: _____ GRADE AND SECTION _____
TEACHER: _____ SCORE _____

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DEPARTMENT OF EDUCATION
Cordillera Administrative Region
SCHOOLS DIVISION OF BAGUIO CITY
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PREFACE

This module is a project of the DepEd Schools Division of Baguio City through the Curriculum Implementation Division (CID) which is in response to the implementation of the K to 12 Curriculum.

This Learning Material is a property of the Department of Education, Schools Division of Baguio City. It aims to improve students' performance specifically in Mathematics.

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The developer wishes to express her gratitude to those who helped in the development of this learning material. The developer specifically wants to thank God and her family for giving her strength and support all throughout the journey of making this module. The fulfillment of this learning material would not be possible without these people who gave their support, helping hand, understanding, and wisdom.

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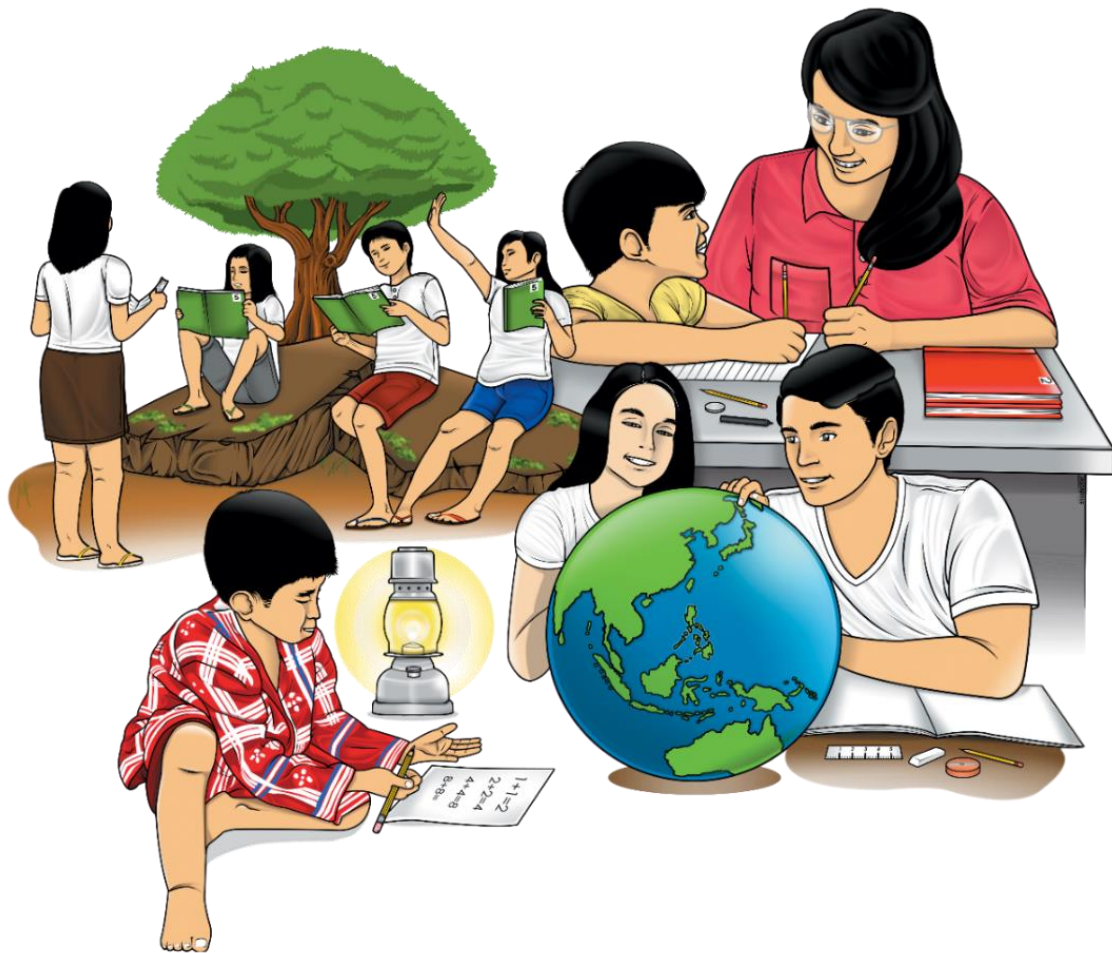
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Table of Contents

COPYRIGHT NOTICE	ii
PREFACE	iii
ACKNOWLEDGEMENT	iv
Title page	1
What I Need to Know	2
What I Know	3
What's In	5
What's New	6
Activity 1 : Recruitments	6
What Is It	6
What's More	12
Activity 2: Straight Commission	12
Activity 3: Commissions on Installments.....	12
Activity 4: What's that Commission?.....	12
What I Have Learned	13
Activity 5: Essay	13
What I Can Do.....	13
Activity 6: Music Idol Records.....	13
Post-Assessment	14
Additional Activities	16
Activity 7: Application of Interests	16
Answer Key	17
References	18

Commission

Module in Business Mathematics Quarter 2 • Module 1 (week 1-2)



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What I Need to Know

Welcome to this module on COMMISSION!

This module is intended to help you, learners, understand and master the key concepts in buying and selling. It is designed to equip you with essential knowledge and skills on solving problems involving commission.

This module is divided into the following lessons:

Lesson 1.1: Types of Commission

Lesson 1.2: Computing Commission on Cash Basis

Lesson 1.3: Computing Commission on Installment Basis

Lesson 1.4: Down Payment, Gross Balance and Current Increased Balance

HOW TO USE THIS MODULE?

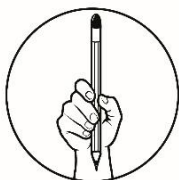
This module contains several lessons. To make the most out of them, you need to do the following:

1. Scan the list of *Learning Objectives* to get an idea of the knowledge and skills you are expected to gain and develop as you study the module. These outcomes are based on the content standards, performance standards, and learning competencies of the K to 12 Curriculum on Business Mathematics.
2. Take the *What I Know*. Your score will determine your knowledge of the lessons in the module. Regardless of your score in this part, you need to proceed with the lesson since there might be some discussions that may increase your knowledge on the topics covered.
3. Each *Lesson* aims to develop one of the learning objectives set for the module. It starts with an activity that will help you understand the lesson and meet the required competencies.
4. Take your time in reading this module. Write down points for clarification. You may discuss these points with your teacher.
5. Perform all activities and answer all worksheets on a separate answer sheet. The activities and assessments are designed to enhance your understanding of interest. The activities will also give you an idea how well you understand the lessons. Review the lessons if necessary, until you have achieved a satisfactory level of understanding.
6. At the end of the module, take the *Post-Assessment* to evaluate your overall understanding about the lessons.

LEARNING OBJECTIVES

At the end of the module, you should be able to:

- 1) Illustrate the different types of commissions;
- 2) Compute commissions on cash basis and commission on installment basis;
- 3) Compute down payment, gross balance and current increased balance; and
- 4) Solve problems involving interests and commissions



What I Know

PRE-ASSESSMENT: Use short bond paper as your answer sheet. Do not forget to write your name, grade and section.

I. Multiple Choice: Choose the letter that best corresponds to your answer and write it on your answer sheet.

1. A door-to-door salesman earns a commission of Php850 for each set of books he sells. If he sells 8 sets in a week, how much will he earn in commission?
A. Php6,700 B. Php 6,720 C. Php 6,800 D. Php 6,820
2. Ryan is a real estate agent, and he earns a 3% commission on each house sold. If he sells a house for Php 780,000, how much does he earn in commission?
A. Php23,100 B. Php 23,400 C. Php 231,000 D. Php 234,000
3. Eric Rivera receives a monthly commission of 4% on the first Php30,000, 6% on the next Php30,000, and 8% of sales in excess of Php 60,000. How much does he earn for the month if his total sales amounts to Php 84,000?
A. Php3,000 B. Php 3,360 C. Php 3,720 D. Php 4,920
4. Michael is paid on a quota bonus plan. His salary is Php 14,000 per month and he receives 5% on all sales in excess of Php 100,000. Last month, his sales were Php 125,000. How much was his total earnings?
A. Php6,250 B. Php 14,000 C. Php 15,250 D. Php 20,250
5. Wilson earned a gross wage of Php 16,300, which included a salary of Php 9,000 and a 6% commission. How much were his net sales?
A. Php7,300 B. Php 15,000 C. Php114,366.67 D. Php121,666.67
6. A salesman receives 12% commission on all sales. He receives, in addition, 3% on the first Php 20,000 sales, 5% on the next Php 20,000 and 7% on all sales above Php 40,000. His sales amounted to Php 48,750. What was his total commission?
A. Php2,212.50 B. Php 3,412.50 C. Php 5,850 D. Php 8,062.50
7. Jim works at a store where he is paid a weekly salary of Php 750 plus a 5 ½% commission on his total sales. On a particular week, Jim sold a total of Php 985. How much did Jim earn that week?
A. Php804.18 B. Php 824.18 C. Php 844.18 D. Php 864.18
8. John is planning to buy a new car worth Php750,000. The company required a 35% down payment and the rest will be paid in a monthly basis. How much is his down payment?
A. Php262,500 B. Php 3,412.50 C. Php 5,850 D. Php 8,062.50

For numbers 9-10. A class sold magazine subscription as a fund-raising event so they could go on a class trip. They earned a 30% commission on their total sales.

9. If the class sold a total of Php 3,850 in magazine subscriptions, how much did the class earn toward their trip?
A. Php115.50 B. Php 154 C. Php 1,155 D. Php 1,540
10. If the class trip cost Php 1,000, does the class have enough money to go to the class trip?
A. Yes, the class have enough money to go to the class trip.
B. No, the class lacks at least Php 400 before they can go to the class trip.
C. No, the class lacks at least Php 900 before they can go to the class trip.
D. It cannot be determined if the class have enough money to go to the class trip.

For numbers 11-12. Arthur, a shoe clerk, receives Php 47.50 an hour and a commission of 2% of sales. In the first week of November, Arthur worked 35 hours and had sales totaling Php32,500.

11. How much is Arthur's commission?
A. Php650 B. Php 700 C. Php 750 D. Php 800
12. What is the total gross pay of Arthur for that week?
A. Php2,312.50 B. Php 2,362.50 C. Php 2,412.50 D. Php 2, 462.50

For numbers 13-15. During a month's time, a furniture salesman receives 4% commission on the first Php 12,000 in sales, 5% commission on the next Php 12,000 in sales, and 6% commission on anything over Php 24,000.

13. What is his commission on the first Php 12,000 sales?
A. Php450 B. Php 480 C. Php 550 D. Php 580
14. What is his total commission on Php42,000 sales?
A. Php480 B. Php 600 C. Php 1,080 D. Php 2,160
15. Base from item number 13 and 14, if a last-minute buyer bought a Php 10,000 worth of sofa set, what will be his new total commission?
A. Php1,160 B. Php 1680 C. Php 2,760 D. Php 2,160

Lesson 1: Commission



What's In

The lessons in your previous module had already introduced to you how to compute for simple and compound interest. Remember that **simple interest** is the interest computed based on the principal or the amount of money borrowed or invested and time or term of the loan or investment. It is usually used for short-term loans or investments.

Simple interest can be computed using the formula

$$I = Prt$$

where: I = simple Interest
 P = principal
 r = simple interest rate
 t = time

While **compound interest** is computed based on the principal plus the accumulated interest. Unlike simple interest, compound interest allows interest to earn its own interest. Interest is periodically computed and added to the principal.

The compound interest formulas are as follows:

$$F = P(1 + i)^n$$

$$F = P \left(1 + \frac{r}{m}\right)^{mt}$$

$$I = F - P$$

where

F = future value or accumulated value
 P = principal
 I = compound interest
 m = number of compounding periods per year
 t = time or term of investment (in years)
 r = nominal rate of interest (in percent)
 $i = \frac{r}{m}$ = rate of interest per interest period
 $n = mt$ = number of interest period

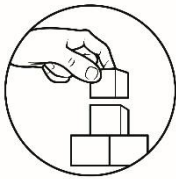


What's New

Activity 1 : Recruitments

Instruction: Analyze the given scenario and answer the question on your answer sheet.

Your cousin is recruiting you to join him in selling houses in their company. He said that one time he was able to sell a house worth 1 million pesos. He received a commission of Php 50,000. Because of this, you decided to join him in their company. In your first month you were able to sell a house worth 1.5 million pesos. How much commission will you receive?



What Is It

Some companies pay their salespeople a straight salary, whereas others compensate their salespeople through sales commission. **Salary** refers to a fixed regular payment, typically paid on a monthly or biweekly basis but often expressed as an annual sum. While **commission** is the amount of money a salesperson receives based on the level of his or her sales. This amount is based on an agreed percentage of the revenue the salesperson has brought in through his or her sales. Some companies like insurance companies pay commissions to their salespeople based on the latter's gross profit rather than on gross sales to make sure that these companies maintain the profitability of their products or services. This is known as the straight commission.

The amount of percentage salespeople receive may vary from product to product and may depend on the level of their sales. Payment of commissions is commonly practiced in real estate marketing. Commissions are paid to motivate salespeople to sell more because the bigger the revenue through their sales, the bigger the commission would be.

LESSON 1.1: TYPES OF COMMISSION

1. **Straight commission** is a compensation plan where the salesperson receives only a fixed percent based on sales. No fixed salary is given. There is no limit to the total commission that a salesperson can earn.

Example 1: Liza, a beauty product agent, was able to sell beauty products worth Php48,000. Given that her commission rate is 15%, how much is her commission if it is based on sales alone?

Solution:

$$\text{Commission} = \text{Sales} \times \text{Commission Rate}$$

$$\text{Commission} = \text{Php}48,000 \times 0.15 = \text{Php}7,200$$

Answer: Liza's earning will be Php 7,200.

2. **Salary plus commission** is an alternative compensation plan where a salesperson receives a commission aside from his or her fixed salary. This compensation plan offers security of receiving something regardless of the level of sales a salesperson makes. However, companies who offer this compensation plan usually have high expectations and quota that salespersons must meet.

Example 2: Based on example 1, if Liza receives a monthly salary of Php20,000 and 10% commission on her total sales, how much will her total earnings be for the same amount of sales?

Solution:

$$\text{Total Earnings} = \text{Monthly Salary} + \text{Sales Commission}$$

$$\text{Total Earnings} = \text{Php}20,000 + (\text{Php}48,000 \times 0.10)$$

$$\text{Total Earnings} = \text{Php}20,000 + \text{Php}4,800 = \text{Php}24,800$$

Answer: Liza's total earnings will be Php 24,800.

3. **Salary plus bonus** is a compensation plan where salespeople receive a bonus if they exceed their sales quota. A sales quota is the amount set by the company a sales agent must achieve within a certain period of time. This plan intends to keep salespeople motivated to do their best.

Example 3: Based on the previous examples, if Liza's sales quota is Php25,000, how much will her earnings be if she is given a bonus of 12% when she exceeds her sales quota?

Solution:

$$\text{Total Earnings} = \text{Monthly Salary} + \text{Bonus}$$

$$\text{Total Earnings} = \text{Php}20,000 + [(\text{Php}48,000 - \text{Php}25,000) \times 0.12]$$

$$\text{Total Earnings} = \text{Php}20,000 + \text{Php}2,760 = \text{Php}22,760$$

Answer: Liza total earnings will be Php 22,760.

4. **Graduated commission** is a compensation plan where the rate of commission increases as the sales volume increases.

Example 4: Liza is receiving no fixed salary but is being paid on a graduated commission scheme: 10% on the first Php20,000, 15% on the second Php20,000, and 20% on all sales in excess of Php40,000. Based on problem number 3, how much is her total earnings from her sales?

Solution:

$$\text{Commission on the first Php20,000} = \text{Php20,000} \times 0.10 = \text{Php2,000}$$

$$\text{Commission on the second Php20,000} = \text{Php20,000} \times 0.15 = \text{Php3,000}$$

$$\text{Commission in excess of Php40,000} = \text{Php8,000} \times 0.20 = \text{Php1,600}$$

$$\text{Total Commission} = \text{Php2,000} + \text{Php3,000} + \text{Php1,600} = \text{Php6,600}$$

Answer: Liza's total earnings will be Php 6,600.

5. **Override commission** refers to the additional commission that sales managers or supervisors earn from the sales of their sales representatives (subordinates).

Example 5: If Liza's sales supervisor receives 1% override commission from the sales of his sales representatives, how much is the override commission of the sales supervisor based on Liza's sales alone?

Solution:

$$\text{Override Commission} = \text{P}48\,000 \times 0.01 = \text{P}480$$

Answer: Liza's sales supervisor will receive an override commission of Php480.

LESSON 1.2: COMPUTING COMMISSION ON CASH BASIS

Commission is computed on cash basis when a sale is completed. The commission is based on cash received from the sale. Hence, it is a fee that a company pays to a salesperson in exchange for his or her service in completing a sale. This type of commission is similar to computing straight commissions.

Example 6: Mercy works part-time as a real estate agent and earns a commission of 5% for the total sales she makes. She was able to sell in cash three units of town houses worth Php1,409,640 (corner unit), Php1,115,960 (end unit), and Php876,000 (inner unit). How much will her total commission be?

Solution:

$$\text{Total Sales} = \text{Php1,409,640} + \text{Php1,115,960} + \text{Php876,000}$$

$$\text{Total Sales} = \text{Php3,401,600}$$

$$\text{Commission} = \text{Total Sales} \times \text{Commission Rate}$$

$$\text{Commission} = \text{Php3,401,600} \times 0.05 = \text{Php170,080}$$

Answer: Mercy will receive a total commission of Php170,080.

Example 7: For her birthday, Alyssa chose to have a new car instead of a debut party. Her father bought her a new car worth Php648,000 in cash. The car dealer gave them a discount of Php35,000. How much commission will the sales agent receive if he is given a commission rate of 3%?

Solution:

$$\text{Net Selling Price} = \text{Unit Price} - \text{Discount}$$

$$\text{Net Selling Price} = \text{Php}648,000 - \text{Php}35,000 = \text{Php}613,000$$

$$\text{Commission} = \text{Php}613,000 \times 0.03 = \text{Php}18,390$$

Answer: The sales agent will receive a commission of Php 18,390.

LESSON 1.3: COMPUTING COMMISSION ON INSTALLMENT BASIS

Commission is computed on installment basis when sales involve periodic payments rather than cash payment. This computation of commission is commonly used by a company when the method of selling involves installment transactions or credit terms. This is viewed as effective in involving salespeople in collecting overdue accounts.

Example 8: While you were working at Rainbow Bookstore, you were able to sell 100 books worth Php 18,000 in total. The transaction is payable for 6 months equally divided into 6 equal installments without interest. You will get 20% commission on the first month based from the monthly installments and for every month thereafter the commission will decrease by 3%. How much will your total commission be?

Solution:

$$\text{Monthly Installment} = \text{Php } 18,000 / 6 = \text{Php } 3,000$$

First Month Commission

$$\text{Php } 3,000 \times 0.20 = \text{Php } 600$$

Second Month Commission

$$\text{Php } 3,000 \times (0.20 - 0.03) = \text{Php } 3,000 \times 0.17 = \text{Php } 510$$

Third Month Commission

$$\text{Php } 3,000 \times (0.17 - 0.03) = \text{Php } 3,000 \times 0.14 = \text{Php } 420$$

Fourth Month Commission

$$\text{Php } 3,000 \times (0.14 - 0.03) = \text{Php } 3,000 \times 0.11 = \text{Php } 330$$

Fifth Month Commission

$$\text{Php } 3,000 \times (0.11 - 0.03) = \text{Php } 3,000 \times 0.08 = \text{Php } 240$$

Sixth Month Commission

$$\text{Php } 3,000 \times (0.08 - 0.03) = \text{Php } 3,000 \times 0.05 = \text{Php } 150$$

Total Commission

$$\text{Php } 600 + \text{Php } 510 + \text{Php } 420 + \text{Php } 330 + \text{Php } 240 + \text{Php } 150 = \text{Php } 2,250$$

Answer: Your total commission for the sold 100 books will be Php 2,250

LESSON 1.4: DOWN PAYMENT, GROSS BALANCE AND CURRENT INCREASED BALANCE

- **Down payment**- the first payment that one makes when one buys something with an agreement to pay the rest later.
- **Book balance** - is the remaining balance recorded under your account at a certain point in time. The checks in transit and other bank charges are yet to be deducted on the book balance. Checks in transit are checks written by the account owner which did not yet clear in the bank or are not yet cashed.
- **Gross Balance** is the amount that will be financed by a financing institution after down payment.
- **Current increased balance**- refers to the total amount you have to pay that includes interests or penalties incurred by unpaid balance from a loan or payment you are supposed to have made but was not able to do so on time.

Example 9: Winnie was online shopping when he saw a motor bicycle being sold for Php 50,000 payable for 3 months with a Php 20,000 down payment. So he immediately checked his bank account and it says he still have Php19,542.13 remaining balance or book balance. He knows that the bank gives 2% interest per month in their debit cards, will he have enough money to pay for the down payment by next month?

Solution:

$$\text{Current Increased Balance} = \text{Gross Balance} (1 + \text{Interest Rate})$$

$$\text{Current Increased Balance} = \text{Php } 19,542.13 (1 + 0.02)$$

$$\text{Current Increased Balance} = \text{Php } 19,932.97$$

Answer: By next month, Winnie will have Php 19,932.97 gross balance in his debit card which is not enough to pay the Php 20,000 down payment.

Example 10: Kyle, a sales agent, was able to sell a new car worth Php648,000 this week. He gave his buyer a discount of Php35,000. His buyer paid a down payment that is 20% of the net price. The balance will be paid through bank financing.

- a. How much was the down payment?

Solution:

$$\begin{aligned}\text{Net Price} &= \text{Unit Price} - \text{Discount} \\ &= \text{Php}648,000 - \text{Php}35,000 = \text{Php}613,000\end{aligned}$$

$$\begin{aligned}\text{Down Payment} &= \text{Net Price} \times \text{Down Payment Rate} \\ &= \text{Php}613,000 \times 0.20 = \text{Php}122,600\end{aligned}$$

- b. How much is the amount to be financed by the bank?

Solution:

$$\begin{aligned}\text{Gross Balance (Amount to Be Financed through Bank)} \\ &= \text{Unit Price} - \text{Down Payment} \\ &= \text{Php}613,000 - \text{Php}122,600 = \text{Php}490,400\end{aligned}$$

- c. How much is the current increased balance if the bank charges an interest rate of 30.75%?

Solution:

$$\begin{aligned}\text{Current Increased Balance} &= \text{Gross Balance} (1 + \text{Interest Rate}) \\ \text{Current Increased Balance} &= \text{Php}490,400 (1 + 0.3075) = \text{Php}641,198\end{aligned}$$

- d. How much total commission did Kyle receive if the car dealer pays a commission rate of 3% based on the net price and the bank gave him 1% commission as sales incentive?

Solution:

- The commission given by the dealer will be based on the net price of the car sold

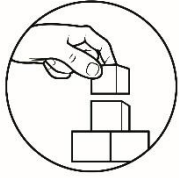
$$\begin{aligned}\text{Commission from the Dealer} &= \text{Net Price} \times \text{Commission Rate} \\ \text{Commission from the Dealer} &= \text{P}613\,000 \times 0.03 = \text{P}18\,390\end{aligned}$$

- While the commission given by the bank will be based on the amount to be financed by the bank after the down payment was made

$$\begin{aligned}\text{Commission from the Bank} &= \text{Amount to Be Financed} \times \text{Commission Rate} \\ \text{Commission from the Bank} &= \text{P}490\,400 \times 0.01 = \text{P}4\,904\end{aligned}$$

- In computing for the total commission, we will add the commission from the dealer and commission from the bank

$$\begin{aligned}\text{Total Commission} \\ &= \text{Commission from the Dealer} + \text{Commission from the Bank} \\ \text{Total Commission} &= \text{P}18\,390 + \text{P}4\,904 = \text{P}23\,294\end{aligned}$$



What's More

Activity 2: Straight Commission

Instruction: Complete the table below. Show your solutions on your answer sheet.

TOTAL SALES	COMMISSION RATE	AMOUNT OF COMMISSION
Php 40,000	3%	(1)
(2)	5%	Php 2,500
Php150,000	(3)	Php 1,000
(4)	3.5%	Php 13,000
Php 1,200,000	2%	(5)

Activity 3: Commissions on Installments

For the month of December, Foage has the highest sales among his colleagues. One of his best sale was selling a Ferrari car worth Php 33 million payable for 2 years where the payment is equally divided into each monthly installments without interest. If he will receive 10% commission for the first month based from the monthly installments and for every month thereafter the commission will decrease by 0.4%. How much will be his total commission for the first 3 months for this specific transaction?

Activity 4: What's that Commission?

Instruction: Identify the type of commission in the following problems. Then solve for what is asked on your answer sheet.

1. Nicole works on a "commission only" basis and receives 3% on her monthly sales without a base salary. For a given month, she was able to sell Php150,000 worth of appliances, but her customer cancelled an order worth Php12,000 because there was a hard lockdown in their area. How much then is her commission and total pay?
2. Neo is paid on a salary plus commission basis where his monthly salary is Php15,000. For the month of November, his total earnings amounted to Php27,000. This month, his total sales is Php240,000, what is the rate of his commission?

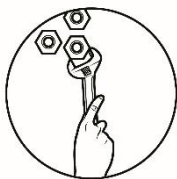


What I Have Learned

Activity 5: Essay

Instruction: Based on your own understanding, answer each question in 3-5 sentences on your answer sheet.

1. What is the main purpose of companies in giving commissions to their employees?
2. If you are already a business entrepreneur, which type of commission will you give to your employees and why?
3. Are you in favor of giving commissions to your employees? Why or why not?



What I Can Do

Use the answer sheet to show neat and complete solutions.

Activity 6: Music Idol Records

You were recently hired to be the executive manager of Music Idol Records. To boost your company's sales, you initiated to give commission to your employees. The commission is based on the following:

Commission Rate	Sales
2%	Sales up to Php 30,000
3%	Sales from Php 30,001 to Php 60,000
4%	Sales that exceed Php 60,000

For the month of November, your employees' sales were the following. Compute for their commission each month.

Name of Employee	Monthly Salary	Total sales for the month of November
April	Php 20,000	Php 65,500
May	Php 20,000	Php 55,800
June	Php 18,000	Php 38,990
July	Php 18,000	Php 47,560



Post-Assessment

To test if you have really understood the lessons contained in this module answer the given post-assessment. Write the answers on your answer sheet.

I. Multiple Choice: Choose the letter that best corresponds to your answer and write it on your answer sheet.

1. A businessman receives 10% commission on all sales. In addition, he receives 2% on the first Php 20,000 sales, 3% on the next Php 20,000 and 4% on all sales above Php 40,000. His sales amounted to Php 59,750. What was his total commission?
A. Php 5,975 B. Php 6,375 C. Php 6,975 D. Php 7,765
2. Mark works at a store where he is paid a weekly salary of Php 250 plus an 8% commission on his total sales. On a particular week, Mark sold a total of Php5,000. How much did Mark earn that week?
A. Php 550 B. Php 650 C. Php 750 D. Php 850
3. Shawn's total sales for a given month amounted to Php 84,000. If he receives a monthly commission of 4% on the first Php30,000, 6% on the next Php30,000, and 8% of sales from the excess of Php 60,000, then how much is his total earnings for that month?
A. Php 3,000 B. Php 3,360 C. Php 3,720 D. Php 4,920
4. Michael is paid on a quota bonus plan. His salary is Php 14,000 per month and he receives 10% from the excess of Php 100,000 sales. Last month, his sales were Php 125,000. How much is his total earnings?
A. Php 6,500 B. Php 14,000 C. Php 16,500 D. Php 20,500
5. John is planning to buy a new car worth Php1,000,000. The company required a 35% down payment and the rest will be paid monthly. How much is his down payment?
A. Php 350,000 B. Php 450,000 C. Php 550,000 D. Php 650,000
6. A door-to-door salesman earns a commission of Php 850 for each painting he sells. If he sells 12 sets in a week, how much will he earn in commission?
A. Php 6,700 B. Php 8,200 C. Php 10,200 D. Php 12,000
7. Jaff is a real estate agent, and he earns a 4% commission on each house sold. If he sells a house for Php 950,000, how much does he earn in commission?
A. Php28,000 B. Php 38,000 C. Php 38,500 D. Php 49,500
8. Wilson earned a gross wage of Php 26,300, which included a salary of Php 19,000 and a 6% commission. How much is his net sales?
A. Php 119,000 B. Php 126,300 C. Php121,666.67 D. Php138,333.33

For numbers 9-10. James takes care of their coffee shop and is paid Php 55 per hour and a commission of 2% of sales. In the first week of November, James worked 35 hours and had sales totaling Php23,750.

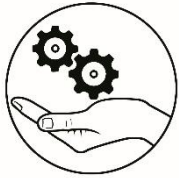
9. How much is James commission?
A. Php475 B. Php 560 C. Php 625 D. Php 715
10. What is the total gross pay of James for that week?
A. Php2,100 B. Php 2,400 C. Php 2,800 D. Php 3,100

For numbers 11-12. A class sold magazine subscription as a fund-raising event so they could go on a class trip. They earned a 40% commission on their total sales.

11. If the class sold a total of Php 5,975 in magazine subscriptions, how much did the class earn toward their trip?
A. Php 597.50 B. Php 1,195 C. Php 1,792 D. Php 2,390
12. If the class trip cause Php 1,000, does the class have enough money to go to the class trip?
A. Yes, the class have enough money to go to the class trip.
B. No, the class lack at least Php 600 before they can go to the class trip.
C. No, the class lack at least Php 900 before they can go to the class trip.
D. It cannot be determined if the class have enough money to go to the class trip.

For numbers 13-15. Working in a department store, you receive 4% commission on the first Php 12,000 of your sales, 5% commission on the next Php 12,000, and 6% commission on anything over Php 24,000.

13. What is your commission on the first Php 12,000 sales?
A. Php450 B. Php 480 C. Php 550 D. Php 580
14. What is your total commission on Php64,000 in sales?
A. Php 2,480 B. Php 2,750 C. Php 3,480 D. Php 3,750
15. Based from # 13 and 14, if a last minute buyer bought a Php 10,000 worth of sofa set, what will be your new total commission?
A. Php 3,016 B. Php 3,080 C. Php 4,016 D. Php 4,080



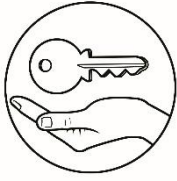
Additional Activities

Use the answer sheet to show neat and complete solutions.

Activity 7: Application of Interests

Instruction: Solve the following problems then show your solutions on your answer sheet.

1. Jennifer loan Php 25,500 from her company to pay for the tuition fees of her child. If the company's interest is 5% compounded quarterly and you need to pay the amount by the end of 2 years, how much shall you pay then?
2. You invested Php 17,500 to a starting coffee shop near your house. The coffee shop started flourishing after 5 years and now would like to return your share in their company. If they are planning to give 10% simple interest to every investor they had, how much will you receive?



Answer Key

What I Know

1. C

2. B

3. D

4. C

5. D

6. D

7. A

8. D

9. C

10. A

11. A

12. A

13. B

14. D

15. C

What's New

Act 1: Php 75,000

What's More

Act 2:

1. Php 1,200

2. Php 50,000

3. 0.67%

4. Php 371,428.57

5. Php 24,000

Act 3:

33,000,000/24=Php1,375,000

1st month=Php137,500

2nd month=Php132,000

3rd month=Php 126,500

Total Commission for the first 3 months=Php 396,000

Act 4:

1. Straight Commission

Php 4,140

2. Salary plus Commission

5%

What I Have Learned
(answers may vary)

What I Can Do

(answers may vary)

Post Assessment

1. D

2. B

3. D

4. C

5. A

6. C

7. B

8. C

9. A

10. B

11. D

12. A

13. B

14. C

15. D

Additional Activity

1. Php 28,164.40

2. Php 8,750

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